in 1990 as shown in Figure 19-2, has actually been weaker than the Low-Grade Index since then. Apparently the market has been suffering from an oversupply of the high grade issues that the brokerage firms bought in such quantity back in 1989-1990. Because *Coin World's* index of low grade coins (not shown) has yet to fall below its 1991 low, there is a bullish non-confirmation in place that could lead to another rally phase over the near term. A rally would reflect a heady optimism toward the economy that should accompany the top of wave ⑤ in the stock market as well as, perhaps, some excitement over the prospects for gold at the peak of its wave Ⓔ (see Chapter 17).

The long term picture remains bearish. Although coin prices have fallen a lot, premiums over bullion are not yet low. In fact, coin premiums remain higher today than they were when gold was cresting in a panic at $850/oz. in 1980! Consequently, there is still plenty of room for prices to fall even if bullion were to remain stable. If the analysis in Chapter 17 is correct that the upside potential for gold bullion is limited to $500/oz. while the downside potential is as low as $110/oz., the metallic value of collector coins, such as it is, is likely to fall a lot further, making it difficult for coins to close that premium gap. A fall in standard investments such as stocks (see Chapter 5) and real estate (see Chapter 20), coupled with overall trends toward deflation (see Chapter 14) and depression (see Chapter 13), would further impact the ability of collectors to bid up prices for coins. Thus, over the long term, the financial forces indicated for coming years imply that a long term bear market in collectible coins remains in force.

Outlook

The balance of evidence indicates that, intermediate term rallies notwithstanding, the average coin is mired in its trend toward a 95% loss in value from the 1989 high. When collector coin prices ultimately hit bottom, the prices of 1989-1990 will be widely acknowledged as having been the product of delusion. After the depression has run its course, coins will present a great buying opportunity for long term investment, and the forces that propel their prices upward will return.